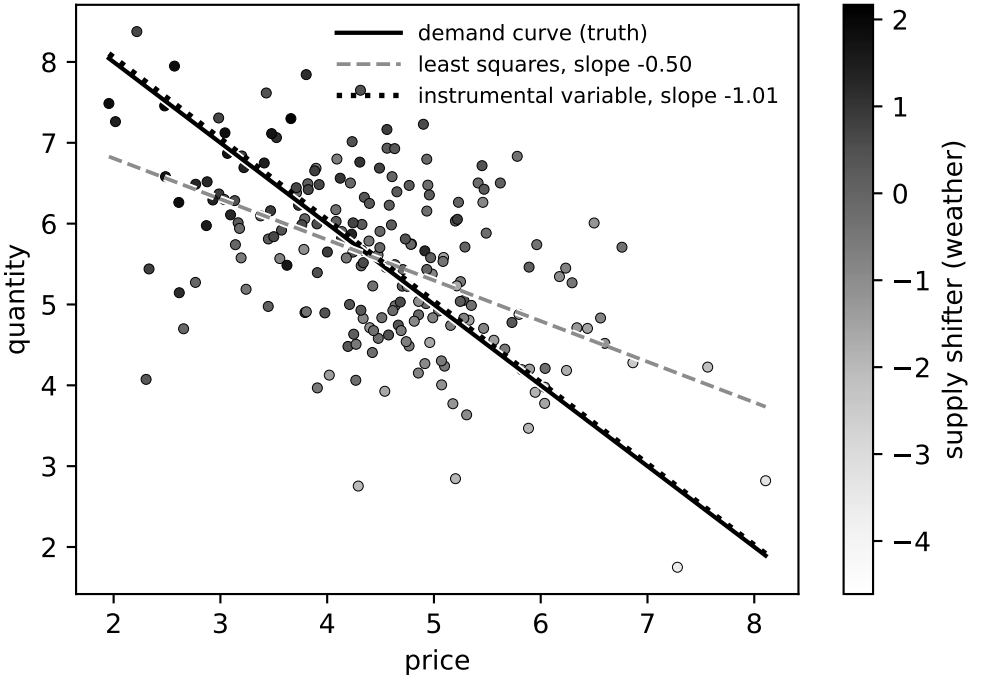
demand curve (truth)
least squares, slope -0.50
instrumental variable, slope -1.01
quantity
price
supply shifter (weather)
8
7
6
5
4
3
2
2
3
4
5
6
7
8
2
1
0
−1
−2
−3
−4